

Salary vs. Value

People sometimes tend to equate their salary with their value. If an office worker makes \$35,000 a year, for example, they may start to believe that they are *worth* \$35,000. And if this office worker believes that long enough, the thought of one day becoming a millionaire may seem like a fantasy. Millionaire status will always seem out of reach because that person doesn't believe they're *worth* \$1 million. That low sense of personal value can grow into discouragement, hopelessness, and ultimately bitterness. They see others enjoying a rich life, but they can't imagine getting there themselves. They say things like, "I don't make enough money to save," or "I'm not qualified to make enough money to build wealth," or "Someone in my position can never get ahead." I can't tell you how many people quit the millionaire journey before they ever even get started just because of this false belief.

Wake up, people. Your income today is not a reflection of your personal value. It's simply a reflection of how much your employer can afford to pay you to do a particular job and how much the marketplace thinks that job is worth. A \$35,000 income today doesn't mean that's all you'll ever make. It also doesn't mean you're disqualified from building wealth. Don't believe me? Fine, I'll let the math do the talking. For simplicity's sake, let's say you get a \$35,000 job out of college at age twenty-two, and you stay in that same job—never even getting a raise—until you're sixty-five. If you stay out of debt and live within your means, you should be able to invest the recommended 15% of your income, which comes to \$437 a month. Putting \$437 into a retirement account every month from age twenty-two to sixty-five will leave you with nearly \$3.5 million at retirement.^{[18](#)} And that's if you never got a raise, never saved any extra, never became a two-income household, never paid off your house, and never invested more. With that size nest egg, your annual retirement income would be about five times